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(NASDAQ: GRRR)

Price	\$12.46
52 Week Range	(\$10.49 - \$44.15)
Price Target	\$39.00
Market Cap (mil)	\$280.00
Shares out (mil)	22.67
3-Mo Avg Vol	846,060
Cash per share	\$5.12
Total Debt (mil)	\$13.80

Revenues (thousands) \$

Yr Dec	2025A	2026E		2027E	
	Actual	Curr	Prev	Curr	Prev
Mar	18,259A	27,000E	—	81,250E	—
Jun	21,067A	40,000E	—	90,000E	—
Sep	26,477A	59,000E	—	110,000E	—
Dec	35,557A	69,000E	—	122,500E	—
YEAR	101,361A	195,000E	—	403,750E	—

EBITDA (thousands)

Yr Dec	2025A	2026E		2027E	
	Actual	Curr	Prev	Curr	Prev
Mar	2,627A	4,980E	6,314E	30,018E	30,182E
Jun	2,970A	10,781E	13,444E	33,181E	33,344E
Sep	4,622A	22,821E	22,984E	40,731E	40,894E
Dec	5,219A	28,051E	27,524E	45,356E	45,519E
YEAR	15,438A	66,632E	70,267E	149,285E	149,940E



Gorilla Technology

Buy

Estimate Change

Volatility: 5

Expect First Phase of Data Center Partnership With Freyr To Being in April

- GRRR reported 4Q:25 revenue of \$35.6 million, which was higher than our \$33 million estimate.
- New contract awards related to smart cities in a variety of Southeast Asia countries were the drivers of growth.
- However, with the rapid inflow of demand for data centers in Southeast Asia, increased urgency for speed and a lack of contractors focused on the region, GRRR is positioned to be a major winner over the next several years, in our opinion.
- Already, the company has its \$1.4 billion partnership with Freyr, where GRRR will supply the technology and services for three data centers, and we expect the first 12 MW contract will begin in April 2025.
- In addition, the company has a \$7 billion pipeline, which we believe is heavily weighted towards new data center builds.
- We fine tune our estimates to reflect the aggressive recruiting management discussed that is necessary to meet demand -- which is a positive leading indicator.
- We forecast adjusted EBITDA to be \$66.6 million (from \$70.3 million) in 2026 and \$149.3 million (from \$149.9 million) in 2027.
- The company has about \$116 million of cash and \$13.8 million in debt.
- We reiterate our Buy rating and \$39 price target, which is based on a target EV/EBITDA multiple of 10x our 2027 estimate.

GRRR reported 4Q:25 results. The company reported revenue of \$35.6 million, which was higher than our \$33.0 million estimate and primarily driven by a handful of AI infrastructure, public safety and enterprise projects in Asia, the Middle East, Europe and the Americas. During 2H:25, revenue was down about 1% year-over-year, compared to 2H:24. However, on an annual basis revenue in 2025 was up 35.7% to \$101.4 million. Gross margin was about 29.7% during 4Q:25, and lower than our 40.0% estimate, which is likely the result of higher than expected mix of hardware sales coupled with lower-than-expected contribution margins from two law enforcement contracts in Asia. Given the lower gross margin, GRRR reported adjusted EBITDA of \$5.2 million, compared to our \$7.3 million estimate.

GRRR has partnered with Freyr to help develop AI data centers across Southeast Asia. The company will be working with Freyr on the projects which will span across Indonesia, Malaysia and Thailand, where GRRR will be the lead provider of GPU infrastructure, SLA operation management of the GPUs and the orchestration software that allows for end customers to manage and run their AI stack for IoT and cybersecurity, while Freyr will serve as its regional expansion partner that will ultimately develop the data center sites. To be clear, GRRR is not building the data centers but supplying hardware, software and services under this partnership. The partnership has an intal commitment for \$1.4 billion and has three separate end customers for a total of 42 MW of power.

The first announced project is for 12 MW of energy. It required about 625 servers that each contain 8 Nvidia GPUs. To date GRRR has taken delivery of 150, and we expect them to receive the remainder by the end of April. The purchase of these GPUs will require financing, and management has communicated it expects off balance sheet financing (not an equity offering) that would be through a special purpose vehicle owned 100% by GRRR. The cash generated during the first year of the project will be used to pay back the principal and then year two would generate significant cash flow to the company. Therefore, we expect revenue to begin sometime in April or May, and as a result, the beginning of the revenue ramp will be in 2Q:26.

The second end customer under the Freyr partnerships is also for 12 MW, and management expects the servers will be deployed by the end of September. The final phase of this program, with the third end customer, is for 20 MW and the plan calls for technology to be deployed in December 2026. Delays to project start times or deliveries are a possibility, however once all three of these programs are up and running, we project GRRR will generate about \$400 million in related annual recurring revenue. While each phase is dependent on financing, which may be contemplated in the current valuation of the stock, even if just the first phase is executed in 2026, which would be a major disappointment, GRRR shares are significantly undervalued, in our opinion.

The pipeline is abnormally large compared to GRRR's current business. Management said its pipeline stands at about \$7 billion and while there is likely a mix of contract types, data centers are among the highest priority across the globe. As hyperscalers in the U.S. are spending hundred of billions alone, each, that is where the majority of the market is paying the most attention. As a result, there are fewer development partners and technology suppliers in places like Southeast Asia, in our opinion. As GRRR has helped with data center development on past projects coupled with the Freyr partnership, it is no wonder that GRRR is experiencing a plethora of incoming calls -- as described on the year-end conference call. The valuation of GRRR suggests investors are skeptical, and therefore, we would expect a project financing announcement and 2Q:26 results would be the evidence investors need to get more comfortable.

Recruiting needs are a bullish leading indicator. The company currently has about 300 employees and 200 contractors and has a goal of reaching 1,200-1,500 by mid-June 2026, plus 700-800 contractors. Between 2000 - 2010, when the offshore outsourcing market was growing 25 - 30% annually, head count growth was one of the most important metrics for estimating revenue growth. While GRRR's revenue does not have the same one to one correlation that offshore outsourcers do with headcount, there is a local need for execution and management of personnel for these programs, and we believe this is an important KPI that investors should not ignore.

The balance sheet is solid. GRRR ended 4Q:25 with \$105 million of cash and \$13.8 million of debt. As the debt has a 3% interest rate, paying it down is not a high priority. The company collected \$22 million from its largest customer, likely Egypt, and now has about \$117 million of total cash, which takes into account \$3 million used to repurchase stock.

We fine-tune our estimates. Our revenue estimates are unchanged at \$195 million in 2026 and \$404 million in 2027. While 2026 revenue could be impacted by delays in the first two phases of the Freyr partnership, our 2027 estimate should be conservative. If all three phases of this data center partnership are up and running exiting 2026, combined they should generate about \$400 million of annual revenue, while the rest of the business is generating about \$100 million without any new business development. We fine tune our adjusted EBITDA estimates, to reflect the aggressive recruiting management discussed, to \$66.6 million (from \$70.3 million) in 2026 and \$149.3 million (from \$149.9 million) in 2027.

We reiterate our Buy rating and \$39 target. Our target is based an EV/EBITDA multiple of 10x applied to our 2027 estimate and adjusts for substantial capital expenditures paid with debt and to a much lesser degree equity. However, management comments suggest a less dilutive financing than our model, which is bullish. We expect investor enthusiasm will shift and skepticism will begin to evaporate once the first 12 MW contract related to the Freyr contract begins.

Valuation:

Our target is based on an EV/EBITDA multiple of 10x applied to our 2027 estimate and adjusts for substantial capital expenditures paid with debt and to a much lesser degree equity.

Risks to achievement of target price:

Converting MOUs - Management has announced MOUs with large total contract values. As these contracts are not yet signed or have meaningful revenue commitments, we would expect the stock to be pressured if the company fails to win these programs.

Early contract successes - As the company is in the early adoption phase, customer satisfaction and good contract execution are critical to get prospective clients more comfortable choosing GRRR.

Customer concentration - We expect the overwhelming majority of revenue we forecast will be generated from the Egypt contract. There, delays or any obstacles that lead to slower revenue recognition or unfavorable changes would impact our estimates and the stock, in our view.

Cyber - Given cybersecurity is a significant aspect of GRRR's solution, any cyber breaches that are not contained could have an impact on demand from new customers.

New customer wins - With only a handful of customers, the company's ability to win new customers and expand geographically is critical to the investment thesis.

Access to capital/potential dilution - Although GRRR recently raised \$25 million, we expect the company will have significant working capital requirements at the beginning of large contracts in addition to our forecasted losses. Therefore, we believe additional capital will be required in 2024 or 2025.

Company description:

Gorilla Technology Group, Inc. ([www.https://www.gorilla-technology.com](https://www.gorilla-technology.com)) utilizes edge artificial intelligence and cyber tools to drive digital transformation for government, industrial, commercial, and smart city & transportation applications.

Management

Jay Chandan has been the Chairman of the Board and CEO of GRRR after his company, a special purpose acquisition corporation (SPAC), which he was Chairman of, merged with GRRR in 2022. Prior, Mr. Chandan has founded multiple companies including KASS Capital, an investment advisory firm, Shackleton-Victoria and Mathern, two investment firms, and Cortis Capital, a transformation and project management firm focused on global M&A. In addition, from 2005-2007 he served as the Director of Business Development for the Exlservices (EXLS, NR) UK subsidiary, a global outsourcing firm. Mr. Chandan graduated from Madras University, India, with an Engineering Degree, majoring in Computer Sciences.

Bruce Bower was named interim CFO in September 2024. His experience includes serving as CFO of SupportRoom, an AI-powered wellness software platform; acting as a director of Medefer, an A.I. platform that connects patients to specialist care across the U.K.; Chairman of Life & Soul Pictures, a film production company; and Advisor to Glassbox Media, Echobox and ConsolFreight. He has helped numerous companies with their finance and strategic plans, leading them to raise a cumulative £100 million in funding since 2015.

From 2009 to 2014, Mr. Bower co-founded Verno Capital, an alternative investment firm focused on the markets of Russia. There, he was a Portfolio Manager focused on the public equity markets and oversaw key client relationships in Europe. From 2005 to 2009, he was an equity portfolio manager at Kazimir Partners, an emerging markets fund manager with offices in Moscow and London. From 2003 to 2005, Mr. Bower worked at Citigroup in London in the Fixed Income & F.X. division.

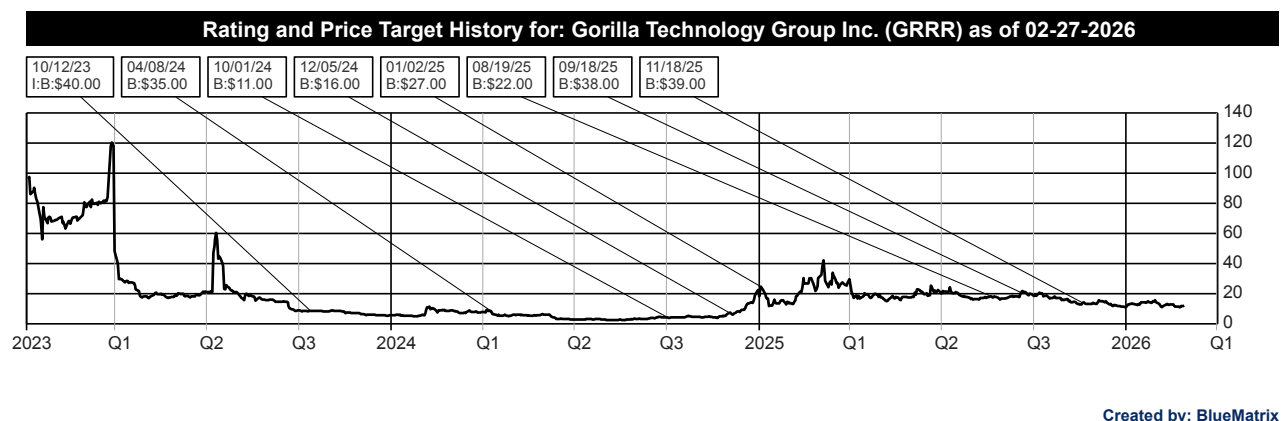
Mr. Bower graduated with honors from the University of Chicago with an A.B. in Economics and History. He also received an MSc from the London School of Economics. He speaks fluent Russian.

Exhibit 1. Gorilla Technologies Income Statement*in thousands except EPS figures*

	2023A	2024A	MarA	JunA	SepA	DecA	2025A	Mar	Jun	Sep	Dec	2026E	2027E
Revenue	\$64,695	\$74,674	\$18,259	\$21,067	\$26,477	\$35,557	\$101,361	\$27,000	\$40,000	\$59,000	\$69,000	\$195,000	\$403,750
Cost of goods sold	19,976	37,366	11,851	14,026	16,600	25,008	67,485	13,500	19,200	24,780	28,980	86,460	185,725
Gross profit	44,719	37,308	6,408	7,041	9,877	10,550	33,876	13,500	20,800	34,220	40,020	108,540	218,025
Gross margin	69.1%	50.0%	35.1%	33.4%	37.3%	29.7%	33.4%	50.0%	52.0%	58.0%	58.0%	55.7%	54.0%
Marketing Expenses	1,563	1,093	331	412	381	491	1,614	491	700	800	1,000	2,991	5,200
General & Administrative	16,558	12,410	3,458	3,813	5,201	7,364	19,836	7,560	8,800	10,030	10,350	36,740	60,563
R&D Expenses	3,702	2,110	570	656	825	1,019	3,071	1,069	1,119	1,169	1,219	4,578	5,378
Other	5,837	88,637	-	-	-	23,024	23,024	-	-	-	-	-	-
Operating Income	17,059	(66,942)	2,049	2,161	3,471	(21,349)	(13,668)	4,380	10,181	22,221	27,451	64,232	146,885
Operating margin	NM	NM	11.2%	NM	13.1%	-60.0%	NM	NM	NM	NM	NM	32.9%	36.4%
Other	(48)	837	(5,810)	(6,586)	(2,058)	17,188	2,733	17,188	17,188	17,188	17,188	68,752	68,752
EBT	17,012	(66,105)	(3,761)	(4,426)	1,413	(4,161)	(10,935)	21,568	27,369	39,409	44,639	132,983	215,637
Tax	(3,516)	(1,311)	797	(481)	1,441	(1,416)	341	3,882	4,926	7,094	8,035	23,937	38,815
Tax rate	-20.7%	2.0%	NM	10.9%	NM	34.0%	NM	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Net income	13,496	(64,795)	(4,558)	(3,945)	(28)	(2,745)	(11,277)	17,686	22,442	32,315	36,604	109,046	176,822
EPS	\$1.96	(\$6.56)	(\$0.23)	(\$0.20)	(\$0.00)	(\$0.12)	(\$0.55)	\$0.79	\$0.94	\$1.35	\$1.51	\$4.63	\$7.11
Diluted shares outstanding	6,889	9,877	19,498	19,819	20,942	22,250	20,627	22,250	23,800	24,000	24,200	23,563	24,875
Select Data													
Revenue growth	188.7%	15.4%	109.0%	76.5%	NA	NA	35.7%	47.9%	89.9%	122.8%	94.1%	92.4%	107.1%
G&A as a % of sales	25.6%	16.6%	18.9%	18.1%	19.6%	20.7%	19.6%	28.0%	22.0%	17.0%	15.0%	18.8%	15.0%
Sales and Marketing as a %	2.4%	1.5%	1.8%	2.0%	1.4%	1.4%	1.6%	1.8%	1.8%	1.4%	1.4%	1.5%	1.3%
Adjusted EBITDA	21,656	22,214	2,627	2,970	4,622	5,219	15,438	4,980	10,781	22,821	28,051	66,632	149,285

Source: Company reports and Alliance Global Partners estimates

Important Research Disclosures



Distribution of Ratings/IB Services

Rating	Count	Percent	IB Serv./Past 12 Mos.	
			Count	Percent
BUY [BUY]	166	82.18	58	34.94
HOLD [NEUTRAL]	29	14.36	4	13.79
SELL [SELL]	1	0.50	0	0
NOT RATED [NR]	6	2.97	2	33.33
UNDER REVIEW [UR]	0	0.00	0	0

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Buy: Expected to materially outperform sector average over 12 months and indicates total return of at least 10% over the next 12 months.

Neutral: Returns expected to be in line with sector average over 12 months and indicates total return between negative 10% and 10% over the next 12 months.

Sell: Returns expected to be materially below sector average over 12 months and indicates total price decline of at least 10% over the next 12 months.

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Under Review: The rating will be updated soon pending information disclosed from a near-term news event.

Volatility Index

1 (Low): Little to no sharp movement in stock price in a 12 month period

2 (Low to medium): Modest changes in stock price in a 12 month period

3 (Medium): Average fluctuation in stock price in a 12 month period

4 (Medium to High): Higher than average changes in stock price in a 12 month period

5 (High): Extremely sharp movements in stock price in a 12 month period

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